Category
Topics in Long-Term Liabilities and Equity

INTRODUCTION

Non-current liabilities arise from different sources of financing and different types of creditors. While the financial reporting of bonds and loans is straightforward and is covered in the prerequisite materials, the reporting of leases and postemployment liabilities is more complex. Leases are an alternative to asset ownership and have become a common means of financing real estate and capital equipment. Postretirement and stock-based compensation are a large and growing share of employee compensation and operating expenses. Given their importance, this learning module introduces the reporting of leases, pension plans, and stock-based compensation under International Financial Reporting Standards (IFRS) and US GAAP. It concludes by reviewing the presentation and disclosure requirements for these items.

Learning Module Overview

- Leasing has several advantages over purchasing an asset outright: less upfront cash commitment, typically low financing costs, and lower risks associated with ownership, such as obsolescence.
- Under IFRS and US GAAP, leases are classified as operating or finance leases. Finance leases resemble an asset purchase or sale while operating leases resemble a rental agreement.
- The financial reporting of a lease depends on whether the party is the lessee or lessor, whether the party reports with IFRS or US GAAP, and the classification of the lease as finance or operating.
- US GAAP and IFRS share the same accounting treatment for lessors but differ slightly for lessees. IFRS has a single accounting model for both operating leases and finance lease lessees, while US GAAP has an accounting model for each.
- Two types of pension plans are defined contribution plans and defined benefits plans. In a defined contribution plan, the amount of employer contribution into the plan is specified (i.e., defined) and the amount of pension that is ultimately paid by the plan (received by the retiree) depends on the performance of the plan's assets. In a defined benefit plan, the amount of pension that is ultimately paid by the plan (received by the retiree) is defined, usually according to a benefit formula.
- In a defined contribution plan, employees bear investment risks (i.e., the potential for investment returns on plan assets to differ from expectations) and actuarial risks (i.e. the potential for retirement and death timing to differ from expectations). In a defined benefit plan, employers bear both investment and actuarial risks.
- Under a defined contribution pension plan, the cash payment made into the plan is recognized as pension expense.
- For defined benefit pension plans, companies must report the difference between the defined benefit pension obligation and the fair value of pension assets as an asset or liability on the balance sheet. An underfunded defined benefit pension plan is shown as a non-current liability. The change in the net asset or liability between balance sheet dates is recognized as a cost of the period, with service cost and net interest expense or income recognized in profit and loss and remeasurement changes recognized in other comprehensive income. There are modest differences in accounting treatment under US GAAP.

- Share-based compensation serves to align employees' interests with those of the shareholders. It typically includes stock grants and stock options, which have the advantage of requiring no current-period cash outlays. Stock-based compensation is measured using fair value at the grant date and recognized as compensation expense over the vesting period.
- The valuation technique, or option pricing model, that a company uses is an important choice in determining fair value of options used in a compensation agreement and is disclosed in the notes to financial statements. Key inputs into option pricing models include such items as exercise price, stock price volatility, estimated life of each award, estimated number of options that will be forfeited, dividend yield, and the risk-free rate of interest.

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